DA RESPONSES TO THE CLARIFICATIONS OF THE OFFICE OF THE SENATE PRESIDENT ON SELECTED FY 2027 FARM-TO-MARKET ROAD PROJECTS

OSP GATCHALIAN CLARIFICATIONS	DA RESPONSES
ON THE ORIGINAL PROJECTS AND THEIR CONSOLIDATION	
Based on our review, both the Fish Landing project (R13-0017) and the Purok 2 project (R13-0020) had significant inconsistencies in their original coordinates. The Fish Landing project initially carried exactly the same coordinates as the FY 2026 GAA project, "Construction of Brgy. San Pedro FMR" (Php 10 million). Meanwhile, the Purok 2 project, although not an exact coordinate match, appeared to follow substantially the same road alignment.	The DA acknowledges the concerns regarding the original coordinates and the need to establish the basis for retaining the Fish Landing (R13-0017) and Purok 2 (R13-0020) projects in the FY 2027 proposal. The initial review focused first on, the projects flagged by the People's Coalition and raised during the Senate discussions. Subsequently, upon more thorough evaluation conducted by the DA, together with the LBRMO, inconsistencies in the original coordinates and possible duplication with the FY 2026 GAA-funded Brgy. San Pedro FMR project were identified.
Despite these findings, both projects were retained as separate entries, with allocations of Php 15 million and Php 20 million, respectively, in the FY 2027 NEP, GAB, and the DA's October 28 submission. May we ask what was the basis for retaining both projects in the succeeding budget submissions despite the inconsistencies already identified? More importantly, how did the DA establish that these were originally two distinct, actual, and independently justified road projects?	The DA recognizes that the original entries required further reconciliation, particularly in establishing the distinction between the two proposed road alignments. The subsequent review prompted the DA to consolidate the two projects in the November 4, 2026 final submission into one FMR leading to the fish landing area. Accordingly, Purok 2 was no longer retained as a separate project entry but was considered in the consolidation and reassessment of the proposed road alignment. The DA acknowledges that the initial submissions required further technical reconciliation. The November 4 final submission reflects the results of the subsequent review and the Department's effort to ensure that the proposed FMR allocation supports the intended beneficiaries and does not retain questionable or potentially duplicative project entries.

It was only in the November 4 submission that the two projects were consolidated under the San Pedro to Fish Landing FMR name, with a proposed allocation of Php 35 million. However, the revised alignment appears to be an extension of the Fish Landing alignment reflected in the October 28 submission, while the original Purok 2 alignment does not appear to be covered. We also observed that the revised road does not appear to lead to the existing fish/boat landing facility, which is located some distance from its endpoint.	The consolidation of the Fish Landing (R13-0017) and Purok 2 (R13-0020) projects into one San Pedro to Fish Landing FMR in the November 4, 2026 final submission was undertaken following the DA's further review and validation, which identified inconsistencies in the original coordinates and possible duplication with the FY 2026 GAA-funded Brgy. San Pedro FMR. The revised alignment reflects the DA's reassessment of the proposed road section and its intended connection to the fish landing area. While it follows the Fish Landing alignment reflected in the October 28 submission, the two original entries were consolidated into one FMR rather than retained as separate projects. The original Purok 2 entry was no longer maintained as a separate alignment. The revised road is intended to provide connectivity to the fish landing area and serve the farmers and fisherfolk in the vicinity. Regarding the existing fish/boat landing facility, the revised road alignment does not directly reach or connect to the facility, which is located some distance from the proposed endpoint. Nevertheless, the road will provide access to the surrounding fish landing area and benefit local farmers and fisherfolk by improving accessibility and facilitating the transport of fishery products and agricultural produce. Should additional funding become available, extending the road to directly connect to the fish landing facility would be beneficial and would be greatly appreciated by the intended beneficiaries. Regarding the proposed Php 35 million allocation, this represents the combined funding originally proposed for the two entries. At this stage, the DA is working within the available proposed funds under the FY 2027 NEP. The amount remains subject to technical validation and engineering assessment to establish the final project scope and cost

In this regard, may we ask what prompted the consolidation only at this stage, how the original Purok 2 project was accounted for, and what justification supports retaining the revised project in the FY 2027 proposal at Php 35 million, given the inconsistencies in the original entries, the apparent extension of the Fish Landing alignment, and the absence of a clear connection to the existing fish landing facility?	The consolidation was made following the DA's review of the original project entries, which identified inconsistencies in the coordinates and possible duplication with the FY 2026 GAA-funded project. To address this, the DA consolidated the Fish Landing (R13-0017) and Purok 2 (R13-0020) projects into one FMR in the November 4, 2026 final version of the FY 2027 NEP. Accordingly, the original Purok 2 project was accounted for as part of the consolidated project and was no longer retained as a separate entry. The proposed Php 35 million allocation is intended for the implementation of the consolidated FMR, which will provide access to the fish landing area and serve the fisherfolk in the vicinity.
ON THE REMOVAL OF PUROK 1 AND THE REALLOCATION TO JUBGAN FMR	
Based on our review of the map showing the three original projects, Purok 1 follows a separate road alignment from Purok 2 and Fish Landing, which appear to lie along the same road already funded under the FY 2026 GAA. We noted that the Purok 1 project (R13-0019), with an allocation of Php 15 million, was removed from the November 4 submission, and its allocation was reportedly reallocated to the Brgy. Jubgan FMR project in San Francisco. May we clarify the basis for selecting Jubgan as the recipient of this reallocation, particularly since it was not included in the FY 2027 NEP, GAB or October 28 submission and appeared only in the November 4 submission? Further, since the Php 15 million was transferred to another project, may we clarify how the reported net reduction of Php 15 million was computed?	The removal of the Purok 1 FMR project (R13-0019) and the reallocation of its Php 15 million to the Brgy. Jubgan FMR project in San Francisco was part of the DA's reprioritization based on the agricultural needs within the area. The DA recognizes that all FMR projects are equally important in providing access to farmers and supporting agricultural activities. Thus, as much as possible, the DA redirected the allocation to another priority FMR project within the same district or province to ensure that the funds would continue to benefit farmers in the area and serve their agricultural needs. The Php 15 million was therefore not removed from the provincial FMR allocation but was redirected to Brgy. Jubgan to support another identified priority road project.

ON THE BASIS FOR THE REVISED PROPOSAL	
More broadly, may we clarify what validation and prioritization considerations guided the changes reflected in the November 4 submission, particularly the consolidation of the two original San Pedro projects, the introduction of a new road alignment, and the inclusion of the Jubgan FMR project?	The changes reflected in the November 4 submission were the result of the DA's further validation and reprioritization of the proposed FY 2027 FMR projects. The review considered the accuracy of project coordinates and road alignments, possible duplication with existing GAA-funded projects, agricultural needs, road connectivity, and the beneficiaries who would benefit. The DA also considered the Farm-to-Market Road Network Plan (FMRNP) to ensure that the proposed projects are aligned with identified priority agricultural production areas and road networks. Specifically, the two original San Pedro projects were consolidated into one FMR to address the inconsistencies in their original coordinates and avoid possible duplication with the FY 2026 GAA-funded project. The new road alignment was introduced based on the results of validation and the need to establish the correct project location and alignment. Meanwhile, the allocation for Purok 1 was redirected to the Jubgan FMR project within the same province, as much as possible, to ensure that the funds would continue to address local agricultural needs. The DA recognizes that all FMR projects are equally important to farmers; thus, the reprioritization aimed to direct available funds to other identified priority areas while maintaining the objective of improving farm connectivity and serving farmers and fisherfolk.
CONSTRUCTION OF BRGY. BUENLAG FMR, MANGATAREM, PANGASINAN (R1-0013)	
The FY 2027 NEP project carries exactly the same coordinates as the FY 2026 GAA-funded project, "Construction of Brgy. Buenlag FMR, Brgy. Buenlag, Mangaldan" (Php 5 million). However, based on our verification, the coordinates actually point to Brgy. Buenlag, Mangatarem. The remark in the updated list indicates that a modification to the coordinates of the FY 2026 counterpart project has been proposed.	The DA agrees with the OSP's verification that the coordinates point to Brgy. Buenlag, Mangatarem. That finding is the reason R1-0013 was retained. The FY 2027 entry is internally consistent: its title names Brgy. Buenlag, Mangatarem, and its coordinates lie in Brgy. Buenlag, Mangatarem. The FY 2026 entry is not. The FY 2026 GAA appropriates ₱5 million for

We would also like to emphasize that, among the FY 2027 projects previously identified as recurring, the Brgy. Buenlag FMR is the only one retained in the updated submission. This makes it particularly important to establish the basis for its continued inclusion, especially since the justification appears to rely on a proposed modification to the coordinates of an existing FY 2026 GAA-funded project.	"Construction of Brgy. Buenlag FMR, Brgy. Buenlag, Mangaldan," yet the coordinates printed for it point to Mangatarem, about 31 km away. The two entries share coordinates because the FY 2026 entry carries the wrong ones. The FY 2027 project is not a repeat of the FY 2026 project. This also explains why Buenlag is the only recurring project kept unchanged. For the other recurring projects, the error was in the FY 2027 entry itself, so the DA corrected or replaced the FY 2027 entry. For Buenlag, the error is in the FY 2026 record. The proposed modification moves the FY 2026 coordinates to Brgy. Buenlag, Mangaldan (START 16.051804, 120.406296; END 16.049189, 120.407931), the location named in the FY 2026 appropriation. It does not change what Congress appropriated. It makes the coordinates match the barangay and municipality the GAA names. Pending approval of the modification, the DA shall not implement the FY 2026 project at the erroneous coordinates. The FY 2026 appropriation shall be used only for the project in Brgy. Buenlag, Mangaldan, as authorized under the GAA.
CONSTRUCTION OF BRGY. MACAÑAO TO BRGY. LUYAO FMR PHASE II, LUNA, ISABELA (R2-NEW-0017)	
Annex A also reflects similar proposed modifications to the FY 2026 GAA-funded counterparts of the following FY 2027 projects: a. Construction of Sitio Victory Brgy. Maite FMR, Brgy. Maite, Hermosa, Bataan (R3-0003); b. Concreting of Brgy. Lunib FMR Phase II, Brgy. Lunib, Vincenzo A. Sagun, Zamboanga del Sur (R9-NEW-0004); c. Concreting of Brgy. Guipis FMR Phase II, Brgy. Guipis, Anilao, Iloilo (R6-NEW-0006); d. Construction of Brgy. Alinawan to Brgy. Maculiw FMR Phase II, Brgy. Alinawan and Brgy. Maculiw, Panganiban, Catanduanes (R5-NEW-0009); and e. Construction of Purok Luyan, Brgy. Kalanawe II to Purok 2, Brgy. Tinaungan FMR, Brgy. Kalanawe	The DA confirms the OSP's reading. As enacted, the FY 2026 project, "Concreting of Brgy. Macañao – Brgy. Luyao FMR" (FY 2026 GAA, page 18), runs from START 16.975830, 121.737197 to END 16.973232, 121.756298, about 2.05 km. FY 2027 Phase II runs from 16.9749134, 121.746662 to 16.973232, 121.756298, which is the second half of that same line. Annex A proposes moving the FY 2026 END to 16.9749134, 121.746662, which shortens the FY 2026 project to about 1.0 km. Phase II would then start where FY 2026 ends. On the amounts: FY 2026: the enacted appropriation is ₱15 million, as the OSP states. The ₱30 million in the Annex A table is an error and will be corrected.

II and Brgy. Tinaungan, Pres. Quirino, Sultan Kudarat (R12-NEW-0003).	The reason for splitting the road is cost. ₱15 million for the whole 2.05 km is about ₱7.5 million per km of actual road. That is half the typical ₱15 million per km in the FY 2027 FMR list, so the FY 2026 funds can concrete only about the first kilometer. The proposed END reflects that, and Phase II completes the road. Together, the two years fund about 2.05 km for ₱30 million, in line with typical costs. Until the modification is approved, the DA will not use FY 2027 funds on any section within the enacted FY 2026 alignment.
ur primary concern is that the legal basis and approval for the proposed modifications to the FY 2026 GAA-funded projects have yet to be established. While the Department may have grounds to propose changes to project details, the FY 2026 GAA does not expressly provide for the modification of FMR project coordinates or alignments. Accordingly, we would like to clarify the authority under which these changes are being proposed and whether the necessary approvals have been secured. Unless these modifications are duly authorized, the original project alignments reflected in the FY 2026 GAA should remain the basis for assessing potential overlaps with the FY 2027 proposals.	The DA clarifies that the project details reflected in the FY 2026 GAA are subject to modification, particularly with respect to the project coordinates and road alignment. If the proposed modification is approved, the project will proceed to implementation using the revised coordinates and alignment. However, if the modification is not approved, the project will not be implementable based on its existing details. Therefore, regardless of the outcome of the proposed modification, there will be no duplication with the FY 2027 FMR proposal. The FY 2026 project will proceed using its modified coordinates only upon approval; otherwise, it will not proceed to implementation. This ensures that the FY 2027 proposal will not duplicate an implementable FY 2026 project. **Legal Basis and Approval of the FY 2026 Project Modifications** 1. The modifications are authorized under Section 87 of Republic Act No. 12314, the FY 2026 General Appropriations Act (GAA), and the approval required is that of the Agency Head or a duly authorized representative, under Section 5.1.1 of DBM National Budget Circular (NBC) No. 599. 2. Section 87 allows agencies, in exceptional circumstances, to modify allotments issued within an activity or project, subject to prescribed conditions and approvals. Under Sections 3.12.1 and 3.12.2 of NBC No. 599, modifications may include changes in the details

Otherwise, the proposed FY 2027 allocations may effectively fund road sections already covered by FY 2026 appropriations, resulting in potential overlap or double funding.	of an activity or project, provided that its nature is not changed and the modification remains within the same operating unit. It also allows changes in the object of expenditure within the same allotment class, including Capital Outlays. 3. NBC No. 599 implements Section 87. It allows modifications in project details, including those involving Capital Outlay allotments, provided that the total amount appropriated for the activity or project is not increased. Pursuant to Section 5.1.1.1 of NBC No. 599, such modifications may be approved by the Agency Head or a duly authorized representative, supported by a Modification Advice Form and the adjusted allotment and accountability records. 4. Modifications that meet these conditions do not require a new appropriation or further approval from Congress. The project alignments as modified under Section 87 are therefore the proper basis for assessing any overlap with the FY 2027 proposals.